IN THE SUPREME COURT OF THE STATE OF OREGON

MELISSA ELAINE KLEIN, dba Sweetcakes by Melissa; and AARON WAYNE KLEIN, dba Sweetcakes by Melissa, and, in the alternative, individually as an aider and abettor under ORS 659A.406, Petitioners Petitioners on Review, v. OREGON BUREAU OF LABOR AND INDUSTRIES, Respondent Respondent on Review.	CA A159899 Bureau of Labor and Industries Agency Nos. 44-14, 45-14 Supreme Court No. S069313

CORRECTED PETITION FOR REVIEW OF MELISSA & AARON KLEIN

Petition for Review of the Decision of the Court of Appeals on Remand from the United States Supreme Court

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Petition Includes Constitutional Challenges to the Application of ORS 659A.403

Opinion Filed: January 26, 2022
Author of Opinion: Lagesen, Chief Judge
Before: James, Presiding Judge, Lagesen, Chief Judge, and DeVore, Senior Judge

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PETITIONERS INTEND TO FILE A BRIEF ON THE MERITS

March 2022

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PETITION FOR REVIEW

Petitioners Aaron and Melissa Klein seek review from this Court after the Court of Appeals issued a decision upon remand from the U.S. Supreme Court in light of *Masterpiece Cakeshop, Ltd. v Colorado Civil Rights Comm'n*, 138 S Ct 1719 (2018). The Court of Appeals also addressed the U.S. Supreme Court's recent decision in *Fulton v Philadelphia*, 141 S Ct 1868 (2021).

The Court of Appeals properly concluded that the Bureau of Labor and Industries (BOLI) had demonstrated improper hostility toward Petitioners' religion when it imposed $135,000 in damages after Petitioners declined to design, create, and decorate a custom wedding cake for a same-sex wedding. Petitioners do not offer standardized or off-the-shelf wedding cakes, but instead design, create, and decorate each cake to order. Yet despite finding BOLI violated the First Amendment's requirement of strict neutrality toward religion, the Court of Appeals set aside only BOLI's damages award, not BOLI's underlying finding that Petitioners violated Oregon's anti-discrimination statute for public accommodations, ORS 659A.403. The Court of Appeals further concluded that ORS 659A.403 is a generally applicable law that does not trigger heightened scrutiny, even though the Oregon Constitution requires courts to decide whether to grant religious exemptions, implicating *Fulton*'s holding that "a formal mechanism for granting exceptions renders a policy not generally applicable," 141 S Ct at 1879. The Court of Appeals also declined to

revisit its prior ruling that Petitioners' custom-designed cakes are entitled to protection under the Free Speech Clauses of the First Amendment and Oregon Constitution.

This Court should address the Court of Appeals' erroneous conclusions regarding the state-law issues of (1) whether Petitioners violated ORS 659A.403, given that they never refused service on account of any customer's sexual orientation; and (2) whether ORS 659A.403 is generally applicable, given the authority in the Oregon Constitution for courts to grant religious exemptions.

STATEMENT OF HISTORICAL AND PROCEDURAL FACTS

The relevant historical and procedural facts in the opinion of the Court of Appeals are correct, except the Court erroneously stated that the Administrative Law Judge in this case was assigned from the Office of Administrative Hearings. ER-7. The ALJ was actually an employee of BOLI. ER-427-29.

QUESTIONS PRESENTED ON REVIEW

The questions presented are:

A. Whether BOLI's confirmed hostility toward Petitioners' religion warrants vacating the entire commission proceedings, not just the damages award.

B. Whether Petitioners violated ORS 659A.403 even though their business served all customers regardless of protected class.

C. Whether compelling Petitioners to design, create, and decorate custom wedding cakes to celebrate marriage rituals that are incompatible with Petitioners' sincerely held religious beliefs violates the Free Speech Clauses of the First Amendment and the Oregon Constitution.

PROPOSED RULES OF LAW

A. BOLI's hostility toward Petitioners' religion warrants vacating the entire commission proceedings, not just the damages award. That hostility infected the entire proceedings. It is cold comfort that BOLI, the same entity found to have demonstrated religious animus, now gets a do-over on damages.

B. Petitioners did not deny service "on account of . . . sexual orientation" in violation of ORS 659A.403. Petitioners serve all customers, regardless of sexual orientation, but decline to design, create, and decorate a custom cake that will be used in a same-sex wedding regardless of who buys the cake. The subsequent use of a wedding cake in a same-sex marriage is not a sufficient proxy for sexual orientation of the customer.

REASONS THIS COURT SHOULD ALLOW REVIEW

This Court should review this case because its outcome will determine whether entrepreneurs in Oregon can exercise their freedoms of speech, religion, and conscience, and whether a government agency's hostility toward religion during a proceeding results in the Pyrrhic victory of remanding the case to that same biased entity for a do-over on damages.

This case satisfies many of this Court's criteria governing discretionary review:

1. It presents several "significant issue[s] of law." ORAP 9.07(1). Among these are "[t]he interpretation of . . . constitutional provision[s]," namely article I, sections 2, 3, and 8 of the Oregon Constitution, and "[t]he interpretation of a statute," namely Oregon's anti-discrimination statute for public accommodations, ORS 659A.403. ORAP 9.07(1)(a), (b).

These legal issues are significant to entrepreneurs who will be compelled to abandon their businesses, as Petitioners did, or to compromise their religious faith and conscience.

2. "[S]imilar issue[s]" will "arise[] often," as creative businesses throughout the State are compelled by the Court of Appeals' interpretation of ORS 659A.403 to participate in rituals that violate their sincerely held religious beliefs. ORAP 9.07(2).

3. "[M]any people are affected by the decision in the case," and "the consequence of the decision is important to the public," as indicated by the significant press attention this and similar cases have generated. ORAP 9.07(3).

4. The case includes "an issue of state law," as it involves the interpretation of the Oregon Constitution and statutes. ORAP 9.07(4).

5. "[P]resent case law is inconsistent," ORAP 9.07(9), with regard to the proper interpretation of the phrase "because of . . . sexual orientation" in ORS

659A.403. *Compare* ER-45, 46, *with Hardie v Legacy Health Sys.*, 167 Or App 425, 435-36 (2000) (establishing a "but for" standard).

ARGUMENT

I. BOLI's Hostility Toward Petitioners' Religion Warrants Vacating the Entire Administrative Proceedings.

The Court of Appeals correctly found that BOLI had demonstrated unconstitutional hostility toward Petitioners' religion, but the court erroneously concluded that this violation warranted vacatur only of the damages award against Petitioners and not vacatur of the entire BOLI proceedings.

In *Masterpiece*, the U.S. Supreme Court held that "indication[s] of hostility" toward religion in government enforcement actions require that "the order must be set aside" or "invalidated." 138 S Ct at 1724, 1732. BOLI's Commissioner and administrative prosecutor demonstrated hostility throughout the entire administrative proceeding, from equating the Kleins' religious beliefs with "prejudice," ER-24-25, to proclaiming that the goal is to "rehabilitate" people like Petitioners. ER-81; ER-148. Yet the Court of Appeals did not follow *Masterpiece* and invalidate the Commissioner's decision. Instead, the court affirmed liability and remanded only for a new consideration of damages by the same biased agency. This was error. The ALJ was a BOLI employee. ER-427-29; Or. Admin. R. § 839-050-0020(1).

IV. BOLI Violated Petitioners' Free Exercise Rights.

C.* Smith*'s Hybrid-Rights Exception Requires Strict Scrutiny.

Petitioners are further entitled to relief under the hybrid-rights exception to *Smith*, which explained that the First Amendment can prohibit the application of even neutral, generally applicable laws in cases "involv[ing] not the Free Exercise Clause alone, but the Free Exercise Clause in conjunction with other constitutional protections, such as freedom of speech and of the press." 494 US at 881 (citing *Cantwell v Connecticut*, 310 US 296, 304-07 (1940)).

BOLI's application of ORS 659A.403 limits not just Petitioners' ability to live and work according to their religious beliefs, but also their freedom to speak or refrain from speaking. The Court of Appeals previously labeled *Smith*'s discussion of hybrid rights "dictum," ER-74, but several federal circuit courts persuasively disagree, *see Miller v Reed*, 176 F3d 1202, 1207 (9th Cir. 1999). For the same reasons stated above, BOLI cannot satisfy this standard.

CONCLUSION

Petitioners respectfully request that this Court grant review and reverse the decision of the Court of Appeals.

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CERTIFICATE OF COMPLIANCE WITH ORAP 5.05

I hereby certify that (1) this petition for review complies with the word-count limitation in ORAP 9.05(3)(a) and (2) the word-count of this petition (as described in ORAP 5.05(1)(c)) is 4942 words.

I certify that the size of the type in this petition is not smaller than 14-point font for both the text of the petition and footnotes as required by ORAP 5.05(3)(b).

DATED this 3rd day of March, 2022.

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CERTIFICATE OF FILING AND SERVICE

I certify that on March 2, 2022, I directed Petitioners' Petition for Review to be filed electronically with the Appellate Court Administrator, Appellate Court Records Section.

I further certify that on March 3, 2022, I directed a true copy of the Petitioners' Corrected Petition for Review to be filed electronically and served on the following parties via email:

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